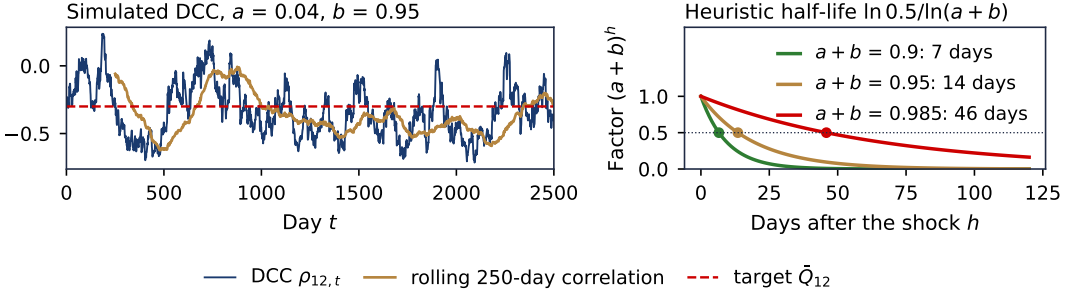
Simulated DCC, $a = 0.04$, $b = 0.95$
0.0
−0.5
0
500
1000
1500
2000
2500
Day t
Heuristic half-life $\ln 0.5/\ln(a+b)$
Factor $(a+b)^h$
$a+b$ = 0.9: 7 days
$a+b$ = 0.95: 14 days
$a+b$ = 0.985: 46 days
1.0
0.5
0.0
0
25
50
75
100
125
Days after the shock h
DCC $\rho_{12,t}$
rolling 250-day correlation
target $\bar{Q}_{12}$